

complaint

Mr H is unhappy about how RGA Underwriting Limited sold him property insurance which he believes led to a higher excess being applied under his insurance claim.

background

Mr H suffered malicious damage to his property and made a claim to the insurer. The insurer accepted the claim but advised Mr H an excess of £2,500 would be applied to his claim because the property was unoccupied at the time of the damage. Mr H complained to RGA that the increase in excess wasn't clear in the policy documentation it had provided when it sold him the policy. RGA explained that the increase was covered in the policy documentation where it advised that the minimum excess on the policy will be £2,500 for each and every claim made for an unoccupied policy. They also advised that they were unable to highlight the policy term to Mr H because he didn't let them know the property was unoccupied.

Mr H wasn't happy with RGA's response and so referred his complaint to us.

An investigator looked at Mr H's complaint and decided that RGA should have done more. He explained that due to Mr H being a landlord there is a chance that his property will become unoccupied. Therefore an excess of £2,500 rather than £250 for an unoccupied property should be regarded as significant and highlighted to Mr H. The investigator asked RGA to cover the difference between the £250 and £2,500 excess.

The business didn't agree with the investigator's view. The business said:

- As sellers of policies they are not able to go through every term and condition at the point of sale.
- Landlords have a 14 day cooling off period to ensure they fully understand and are happy with the policy.
- Renewal documents are issued one month prior to the renewal date with an important notice attached which states the importance of reading the documentation.
- Mr H's policy has renewed automatically since 2013.
- Mr H didn't inform them that the property was unoccupied.

The investigator responded to the business and explained that it didn't change his view. He explained that the business has a responsibility to highlight significant terms to Mr H and failed to do so.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. And in doing so I think that RGA need to do more to put things right.

Regulations for businesses selling insurance state they need to provide appropriate information to ensure customers can make an informed decision about the proposed policy. The regulations also state that the level of information required depends on the policy terms including its *main benefits and limitations*.

RGA have argued that it is not possible for them to go through all the terms and conditions at the point of sale. And Mr H was provided with an important notice 30 days prior to renewal advising him to read the policy documents. And he has renewed his policy since 2013. RGA have also argued that Mr H didn't advise them the property was unoccupied.

However Mr H took out landlords insurance with RGA. To treat Mr H fairly and reasonably I think RGA had a responsibility to let him know about the change in excess on his buildings insurance. I'll explain my reasons below.

RGA had a responsibility to highlight to Mr H the important terms and conditions including excesses. Mr H has taken out landlords insurance and according to the policy document paid additionally for 30 days unoccupancy cover. Therefore it would be reasonable to assume that part of the policy is significant to Mr H. I think this also evidences that RGA should have been aware that the excess is significant to him.

RGA have evidenced that there is detail in the policy documentation, dated January 2016, which states that for the first 30 days after a property becomes unoccupied, cover will not be limited to fire, lightning, earthquake, explosion or aerial vehicles – but that an excess of £2,500 will apply to each and every claim. However this was on page 27 and not highlighted to Mr H. And RGA didn't include the increase in excess on the statement of fact form sent to Mr H. I think that RGA should have highlighted the unoccupied excess condition more significantly to Mr H.

So I've outlined why I think RGA should have highlighted the increased excess to Mr H. Now I need to consider what Mr H would have done if he'd been aware of the increased excess. As Mr H chose to add the additional unoccupied property cover to his buildings insurance I'm confident he would have tried to purchase an alternative policy elsewhere with a lower excess if he could.

I don't think it's unreasonable to assume that Mr H would have been able to obtain a policy with similar cover for the first 30 days where a property has become unoccupied, with an excess of £250, for a similar price. Therefore I think it's fair and reasonable for RGA to put Mr H in the position he would have been in if he'd taken out an alternative policy. And refund Mr H the difference between the £2,500 and the £250 excess.

my final decision

I direct RGA Underwriting Limited to:

- Pay Mr H £2,250 as the difference between the two excesses. And pay 8% per annum in simple interest* on this amount from the date Mr H paid the policy excess to the date of settlement

*If RGA Underwriting Limited consider that it's required by HM Revenue & Customs to take off income tax from that interest, it should tell Mr H how much it's taken off. It should also

give Mr H a certificate showing this if he asks for one, so he can reclaim the tax from HM Revenue and Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H to accept or reject my decision before 30 May 2018.

Jeff Burch
ombudsman